

Earnings Surprise, Firm Valuation, and Market Efficiency: Evidence from China

Team Project Proposal for Corporate Finance (FIN803)

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Project Title. Earnings Surprise, Firm Valuation, and Market Efficiency: Evidence from China.

Background and Motivation. Earnings-related disclosures matter because they update investor beliefs about future profitability and firm value. The initial version of this project relied on a guidance-only proxy for expected earnings, which was useful for exploration but weak as a headline research design. The revised version therefore rebuilds the project around a Tushare-first framework that combines sell-side expectation data, management preannouncements, earnings express releases, formal financial indicators, and market-control variables in one auditable pipeline.

Research Question. The core question is whether earnings-related public disclosures in China A-shares generate short-run abnormal return once surprise is measured relative to stricter pre-event sell-side expectations. More broadly, we ask whether a cleaner event-expectation design supports evidence of limited short-run valuation adjustment without overstating the case for strong long-run inefficiency.

Relevance to FIN803 Corporate Finance. The topic is closely aligned with the FIN803 syllabus. It relates to **stock valuation** because earnings disclosures update expected cash flows and therefore intrinsic value. It relates to **capital markets and information processing** because abnormal return around disclosure events reflects how quickly public information enters prices. It also uses ideas from **CAPM and expected return benchmarking** because abnormal return is measured relative to market return and the regressions control for firm characteristics and exposure proxies. The final framing remains cautious and valuation-centered rather than strategy-centered.

Methodology. The revised framework uses Tushare Pro as the primary data source. Sell-side expectations are drawn from `report_rc`. Event types are standardized from `forecast/forecast_vip`, `express/express_vip`, and `fini_indicator`. Market controls are taken from `daily_basic`. Surprise is constructed relative to pre-event sell-side expectations and standardized within comparable event families. The main outcome is short-window abnormal return, especially *CAR5*, with additional windows *CAR3*, *CAR10*, *CAR20*, and *CAR60* used for robustness. The preferred regression includes industry fixed effects, year-quarter fixed effects, event-type fixed effects, firm-level controls, and firm-clustered standard errors.

Main Finding and Contribution. The main contribution of the current revision is architectural and methodological: the repository now supports a much stronger and more auditable earnings-surprise framework than the earlier weak-proxy design. The old guidance-only path is preserved as fallback for reproducibility, but no longer serves as the preferred headline specification. The current empirical limitation is that strict sell-side matching substantially tightens sample coverage, so the final interpretation should remain cautious until matched-sample breadth improves. Even so, the revised framework is a more credible basis for studying short-run valuation adjustment in China A-shares.